

increase shareholder value in one of its holdings, for example. The new graduate must also explain why, how, when, and for what purpose the proposed undertaking will pay off.

Julius Caesar learned his trade largely at his father's side. Your family members should do the same, working alongside one another in order to spread not merely knowledge, but something more important: culture.

But we'll come back to that in another chapter. Right now, we're just talking about how to inventory your family's human capital, and what it means. You will notice that different family members can have different talents. And different talents are useful. Not everybody has to be an entrepreneur or a financial genius.

Take the case of John Davidson Rockefeller.

John D. Rockefeller Jr. did not share his father's enthusiasm for business. The old man might have been one of the greatest wealth creators of all time. But the son had talents, too. Different from his father's, those talents proved extremely useful. The younger Rockefeller focused on his family and setting up a family office structure. That structure is still in place today and has helped seven generations of Rockefellers preserve their wealth and flourish.

Many of the strategies developed by John D. Rockefeller Jr. for choosing advisers, managing the participation of family members in the family business, and philanthropy have been used as models for many other wealthy families since.

James Hughes, in his book *Family Wealth*, says, "An unrecognized part of the Rockefellers' success in long-term wealth preservation is the extraordinary act by John Davidson Rockefeller Sr. of not compelling his son to remain in the family business once he had determined that his calling lay in family governance and philanthropy."⁹

The act of letting a son go to pursue his calling was a successful strategy for developing the human capital of the Rockefeller family. This has become the standard among family wealth professionals. "Encourage young people to find their own paths in life," they say. While, superficially, it certainly sounds like a good idea, we're not sure it is good advice. While you don't want to stop a child from pursuing his own goals, in practice,